

European Luxury

Q3 Preview: Resetting the Bar

Equities

Europe including UK
Retailers, Specialty

Heading into 2027 with more realistic expectations

In our 2026 outlook ([link](#)), we became more constructive on luxury goods after two years of caution, expecting EPS momentum to stabilise. That proved premature. The Iran conflict, slower industry self-help and softer trends over the summer have further delayed the recovery. We continue to view the downturn as cyclical rather than structural. Chanel's recent revival shows that the right actions can reignite growth even in a mature handbag market. Rather than seeing a structural decline, the sector is returning to its core: timeless products, craftsmanship and perceived value over hype, requiring brands to adapt. Reflecting weaker trends, we reset expectations for 2027, where the focus is increasingly shifting. We remain most positive on hard luxury, favouring CFR and WOSG (both Buy-rated), while downgrading RMS to Sell as we see growing evidence that its earnings profile is becoming more cyclical.

What to expect from Q3 and what changes are we making to our estimates?

The Q3 earnings season kicks off with LVMH on 12th Oct followed by BC (15th Oct). We forecast Q3 2026 avg organic sales growth (OSG) of +4% (vs. cons +5%), implying a deceleration from +6% in Q2 amid recent signs of a slow-down across Asia, especially China as well as to some extent the US. We revise 2027E sector OSG to +4% from +5% previously, with soft luxury lowered more substantially to +3% from +4%, highlighting ongoing weakness across the category. As a result, on avg we cut EPS for 2026E by 2% and for 2027E by 6% (for more detail, see page 3).

What to watch?

We expect investors to focus on: **(1)** consumer nationality trends, particularly among Chinese and South Korean consumers after the Q2 AI wealth-driven boost; **(2)** US exit rates and whether the recent slowdown proves temporary or more persistent; **(3)** tourism trends in Europe and the Middle East; **(4)** the ongoing divergence between soft and hard luxury; **(5)** updates on financial benefit from potential tariff refunds; and **(6)** evidence of effective brand self-help measures.

Where are we positive/negative heading into Q3?

CFR (Buy) remains our top pick. Strong sales momentum and easing margin pressures support the prospect of renewed EPS upgrades, while the recent sector-led sell-off provides an attractive buying opportunity. **ZGN (Buy)** continues to execute well, with DD% DTC growth at Zegna underpinning confidence in its 2027 targets despite a tougher consumer backdrop. **BC (Buy)** could raise FY guidance given sustained DD% growth momentum. At **RACE (Buy)**, a FY26 guidance upgrade looks unlikely, but investor focus is increasingly shifting to 2027, where a strong order book should support confidence. On the other side, **KER (Neutral)** faces a tougher setup as weak Q3 trading could further test confidence in the pace of recovery and the credibility of its 2027 turnaround ambitions, despite better cost discipline. **RMS (Sell)** is also vulnerable, with weaker Q3 results potentially reinforcing concerns around the 2027 outlook as pricing moderates and leather goods volume growth becomes less predictable.

Sector valuation (ex-RMS): ~37% premium vs. MSCI Europe (5-year avg ~67%)

The sector (ex-RMS) is trading at a ~37% premium vs. MSCI Europe, below its 5-yr avg of ~67% and 15-yr avg of ~57%, reflecting investor concerns over its structural growth outlook. While ST visibility remains limited, earnings forecasts have been materially reset, improving the sector's risk-reward profile. Even modest signs of stabilisation in consumer demand or the macro backdrop could therefore support a re-rating. We remain selective, favouring hard luxury and, within soft luxury, brands with greater exposure to HNWIs, which should prove more resilient in the current context.

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Q3 26 PREVIEW: RESETTING THE BAR

Heading into 2027 with more realistic expectations

Over the past three years, the luxury goods sector has increasingly traded on sentiment, with its relative valuation vs the market moving largely in line with changes in investor confidence.

The combination of disruption from the Iran conflict, a slow pace of industry self-help, and a renewed moderation in demand following the AI wealth-related boost to spending in Q2 has kept the backdrop challenging. We continue to view luxury as a cyclical rather than structural debate. While we continue to see changing category dynamics, the consumer remains under pressure globally amid ongoing geopolitical uncertainty. Moreover, the sector is experiencing a healthy return to its fundamentals, with demand increasingly concentrated around timeless products, craftsmanship and quality rather than brand marketing alone

Therefore, we believe stock selection remains critical, as the pace of recovery is likely to vary significantly across brands and business models. We remain most positive on hard luxury, favouring CFR and WOSG (both Buy-rated), while downgrading RMS to Sell as we see growing evidence that its earnings profile is becoming more cyclical.

Figure 1: Summary of UBS Luxury Goods coverage

Most upside ↑	Company	Rating	Price Target	Upside / Downside	Current 2027 P/E
	EssilorLuxottica	Buy	€ 247	+73%	16.7x
	LVMH	Buy	€ 525	+39%	17.1x
	Watches of Switzerland	Buy	890p	+32%	11.9x
	Burberry	Buy	1,320p	+31%	17.5x
	Brunello Cucinelli	Buy	€ 99	+23%	31.2x
	Richemont	Buy	CHF 210	+21%	20.4x
	Zegna	Buy	\$ 15.4	+21%	19.1x
	Ferrari	Buy	\$ 450	+16%	31.7x
	Ferragamo	Neutral	€ 8.5	+21%	n.m.
	Moncler	Neutral	€ 46.6	+7%	18.7x
	Kering	Neutral	€ 224	+7%	29.5x
	Pandora	Neutral	€ 839.0	+6%	15.9x
	Hugo Boss	Neutral	€ 38.9	+3%	13.4x
	Prada	Neutral	HKD 36.3	+1%	13.5x
Most Downside	Hermès	Sell	€ 1,168	-10%	29.5x
	Swatch	Sell	CHF 90	-51%	39.6x

Source: UBS estimates, Datastream prices as of 02/01/2026 close. BRBY, CFR, WOSG 2026 calendarised P/E. Note: no updates with this note for Swatch and WoSG



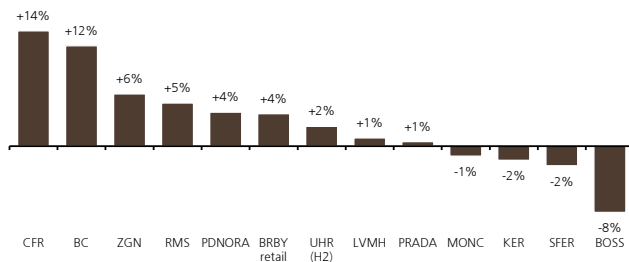
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EUROPEAN LUXURY: 3Q26 PREVIEWS

What to expect from Q3 and what changes are we making to our estimates?

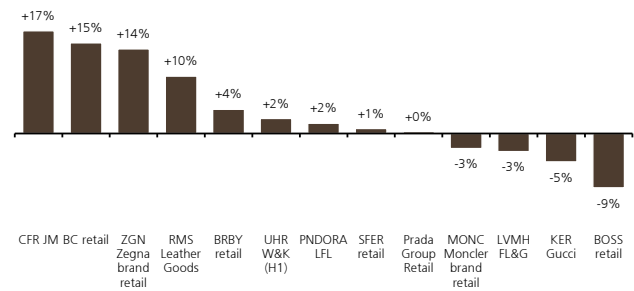
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Figure 2: Organic sales growth estimates for Q3 - group



Source: Company data, UBS estimates. Note: CFR and BRBY Q2 FY27

Figure 3: Organic sales growth estimates for Q3 - key division



Source: Company data, UBS estimates. Note: CFR and BRBY Q2 FY27

Figure 4: Summary of UBS sales and EPS estimates (current and next fiscal year)

	2026 Sales estimates (millions)			2026 EPS estimates			2027 Sales estimates (millions)			2027 EPS estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Brunello Cucinelli	€1,545	€1,554	+1%	€2.26	€2.27	+0%	€1,697	€1,708	+1%	€2.53	€2.57	+2%
Burberry*	£2,563	£2,542	-1%	45.57p	42.76p	-6%	£2,716	£2,665	-2%	66.35p	62.29p	-6%
EssilorLuxottica	€30,581	€30,296	-1%	€7.82	€7.68	-2%	€34,069	€33,117	-3%	€8.78	€8.55	-3%
Ferragamo	€979	€964	-2%	€0.01	€0.01	--	€1,020	€989	-3%	€0.13	€0.09	-32%
Ferrari	€7,749	€7,603	-2%	€9.95	€9.71	-2%	€8,349	€8,326	-0%	€10.87	€10.89	+0%
Hermès	€16,770	€16,683	-1%	€42.94	€42.61	-1%	€17,985	€17,608	-2%	€48.91	€43.98	-10%
Hugo Boss	€3,883	€3,883	--	€2.54	€2.54	--	€3,995	€3,962	-1%	€2.88	€2.83	-2%
Kering	€14,952	€14,474	-3%	€5.69	€5.33	-6%	€15,906	€15,246	-4%	€8.30	€7.12	-14%
LVMH	€80,841	€80,069	-1%	€22.58	€21.90	-3%	€85,257	€82,510	-3%	€26.14	€22.18	-15%
Moncler	€3,294	€3,151	-4%	€2.38	€2.20	-7%	€3,527	€3,314	-6%	€2.57	€2.33	-9%
Pandora	DKK33,784	DKK33,770	-0%	DKK67.12	DKK67.03	-0%	DKK35,506	DKK35,491	-0%	DKK49.77	DKK49.68	-0%
Prada	€6,464	€6,378	-1%	€0.31	€0.29	-5%	€6,734	€6,594	-2%	€0.33	€0.31	-8%
Richemont*	€25,357	€25,357	--	€8.18	€8.18	--	€27,348	€27,272	-0%	€9.39	€9.34	-0%
Swatch	CHF6,449	CHF6,449	--	CHF0.72	CHF0.72	--	CHF6,759	CHF6,759	--	CHF4.60	CHF4.60	--
Watches of Switzerland*	£2,006	£2,006	--	0.50p	0.50p	--	£2,182	£2,182	--	0.59p	0.59p	--
Zegna	€2,064	€2,049	-1%	€0.42	€0.41	-2%	€2,225	€2,211	-1%	€0.57	€0.57	+0%
Simple avg			-1%			-2%			-2%			-6%

Source: UBS estimates. *Burberry, Richemont, and Watches of Switzerland: FY27 and FY28 sales and EPS estimates. For more details, please see the single-stock reports published today. Note: No updates with this note for Swatch and WoSG

What to watch?

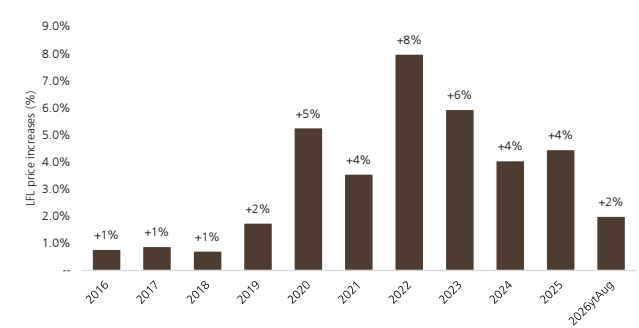
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Figure 5: Growth by consumer nationality, calendar 3Q25-2Q26

Company	Chinese cluster				European cluster				American cluster			
	3Q25	4Q25	1Q26	2Q26	3Q25	4Q25	1Q26	2Q26	3Q25	4Q25	1Q26	2Q26
Y/E December												
BC - retail	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%
BRBY - retail LFL*	flat	+LSD%	+MSD%	+MSD%	+MSD%	+MSD%	-LSD%	+LSD%	flat	+LSD%	+HSD%	+DD%
SFER - primary retail	-mid-teens%	-LSD%	-MSD%	-MSD%	+low-teens%	+HSD%	+HSD%	+HSD%	+high-teens%	+HSD%	+HSD%	+HSD%
RMS	+MSD%	+HSD%	+LSD%	+LSD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%
KER - retail	-high-teens%	-mid-teens%	-mid-teens%	negative	-MSD%	-MSD%	negative	positive	-LSD%	-LSD%	positive	+HSD%
LVMH - F&LG	-LSD%	-LSD%	flat	flat	+LSD%	+LSD%	flat	flat	+LSD-MSD%	-LSD%	+LSD-MSD%	+HSD%
MONC - Moncler brand retail	+LSD%	+DD%	+DD%	+DD%	flat	flat	+MSD%	-LSD%	flat	+HSD%	+HSD%	+HSD%
PRADA - Prada brand retail	-LSD%	flat	+MSD%	+DD%	+LSD%	flat	-LSD%	flat	+MSD%	+HSD%	+HSD%	+HSD-DD%
CFR - retail*	flat	-MSD%	-LSD% to flattish	+HSD%	+mid-teens%	+low-teens%	+DD%	+mid-teens%	+high-teens%	+mid-teens%	+mid-teens%	+DD%
ZGN - Zegna brand retail	-HSD%	-MSD%	+LSD-MSD%	+HSD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%	+DD%

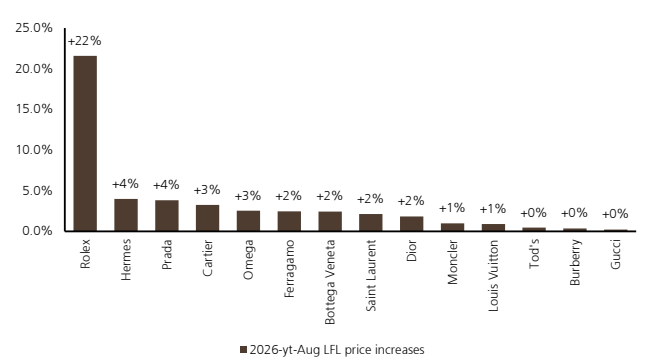
Source: Company data, UBS estimates

Figure 6: Luxury sector price increases (2016-2026yt-Aug)



Source: UBS Evidence Lab (>[Access dataset](#)), Company data, UBS estimates. Note sector average calculated as simple average.

Figure 7: Price increase across brands (2026yt-Aug)



Source: UBS Evidence Lab (>[Access dataset](#)), Company data, UBS estimates



3Q26 - UBS ESTIMATES VS. CONSENSUS

Figure 8: 3Q26 sales - UBS estimates vs. consensus (1/2)

Brunello Cucinelli		3Q26e y/y	
Organic growth		UBSe	Cons
Total Sales		+12%	+11%
Retail		+15%	+15%
Wholesale		+8%	+6%

Burberry*		2Q27e y/y	
Organic growth		UBSe	Cons
Retail Sales		+4%	+4%
LFL		+4%	+4%
Space		--	-0%

EssilorLuxottica		3Q26e y/y	
Constant-FX growth		UBSe	Cons
Total sales		+6.5%	+6.9%
Professional solutions		+2.5%	+3.5%
Direct to consumer		+10.0%	+9.8%

Ferragamo		3Q26e y/y	
Organic growth		UBSe	Cons
Total Sales		-2%	-2%
Retail		+1%	+1%
Wholesale		-18%	-14%

Ferrari		3Q26e y/y	
Organic growth		UBSe	Cons
Total Sales		+8%	+9%
Cars and Spare Parts		+8%	+9%
Sponsorship, Commercial and Brand		+4%	+6%
Others		+18%	+16%

Hermès		3Q26e y/y	
Organic growth		UBSe	Cons
Total Sales		+5%	+6%
Leather Goods and Saddlery		+10%	+11%
RTW & Fashion Accessories		+1%	+2%
Silk & Textiles		+8%	+7%
Other Hermès sectors		+7%	+5%
Perfumes & Beauty		-5%	-6%
Watches		-5%	-0%
Other Products		-5%	-1%

Hugo Boss		3Q26e y/y	
Organic growth		UBSe	Cons
Total Sales		-8%	-7%
EMEA		-11%	-9%
Americas		-4%	-3%
APAC		-4%	-6%
Licenses		+10%	+1%

Kering		3Q26e y/y	
Organic growth		UBSe	Cons
Total Sales		-2%	+2%
Fashion & Leather Goods		-4%	-0%
o/w Gucci		-5%	-3%
o/w other brands		-3%	+2%
Kering Jewellery		+15%	+13%

Source: UBS estimates, Visible Alpha consensus *Burberry fiscal year end March.

Figure 9: 3Q26 sales - UBS estimates vs. consensus (2/2)

LVMH		
	3Q26e y/y	
Organic growth	UBSe	Cons
Total Sales	+1%	+2%
Wines & Spirits	+2%	+1%
Fashion & Leather Goods	-3%	-1%
Perfumes & Cosmetics	--	+0%
Watches & Jewellery	+9%	+8%
Selective Retailing	+5%	+4%

Moncler		
	3Q26e y/y	
Organic growth	UBSe	Cons
Total sales	-1%	+1%
Moncler brand	-2%	+0%
Moncler brand - retail	-3%	+0%
Moncler brand - wholesale	+0%	-1%
Stone Island	+2%	+6%

Pandora		
	3Q26e y/y	
Growth	UBSe	Cons
Organic	+4%	+4%
LFL	+2%	+2%

Prada		
	3Q26e y/y	
Constant-FX	UBSe	Cons
Retail - Prada brand	+1%	+2%
Retail - Miu Miu	-0%	+3%

Richemont*		
	2Q27e y/y	
Organic growth	UBSe	Cons
Total Sales	+14%	+12%
Jewellery Maisons	+17%	+15%
Specialist Watchmakers	+7%	+5%
Others (inc. Montblanc)	+6%	+5%

Swatch		
	2H26e y/y	
Organic growth	UBSe	Cons
Total Sales	+2%	+6%
Watches & Jewellery	+2%	+7%
Electronic Systems	+2%	+4%

Watches of Switzerland		
	1H27e y/y	
Constant-FX growth	UBSe	Cons
Total sales	+13%	+9%
UK	+5%	+3%
US	+22%	+15%

Zegna		
	3Q26e y/y	
Organic growth	UBSe	Cons
Total sales	+7%	+7%
Zegna Segment	+8%	+8%
Thom Browne Segment	-4%	+0%
Tom Ford Fashion Segment	+5%	+5%

Source: UBS estimates, Visible Alpha consensus *Richemont fiscal year end March.



Figure 10: 1H27 P&L - UBS estimates vs. consensus

Burberry	UBSe	cons.
	1H27e	1H27e
EBIT (£m)	39	47
<i>margin</i>	3.5%	4.4%

Richemont	UBSe	cons.
	1H27e	1H27e
EBIT (€m)	2,816	2,823
<i>margin</i>	22.8%	23.1%

EBIT by division

Jewellery Maisons	2,962	2,962
<i>margin</i>	32.0%	32.3%
Specialist Watchmakers	100	80
<i>margin</i>	6.0%	4.8%
Other (inc. Montblanc)	-28	-29
<i>margin</i>	-2.0%	-2.1%

Source: UBS estimates, Visible Alpha consensus *Burberry and Richemont fiscal year end March.

SUMMARY OF TODAY'S ESTIMATE CHANGES

Figure 11: Summary of UBS estimates vs. consensus, current fiscal year

FY26 Company	Sales (m)			EBIT (m)			EPS		
	UBSe	Cons	vs. cons	UBSe	Cons	vs. cons	UBSe	Cons	vs. cons
Brunello Cucinelli	1,554	1,547	+0%	264	264	+0%	2.27	2.27	+0%
Burberry*	2,542	2,546	-0%	260	248	+5%	42.76	38.00	+13%
EssilorLuxottica	30,296	30,200	+0%	4,910	4,875	+1%	7.68	7.29	+5%
Ferragamo	964	966	-0%	35	41	-16%	0.01	0.05	-72%
Ferrari	7,603	7,644	-1%	2,256	2,290	-1%	9.71	9.90	-2%
Hermès	16,683	16,742	-0%	6,562	6,728	-2%	42.61	45.07	-5%
Hugo Boss	3,883	3,902	-1%	300	310	-3%	2.54	2.64	-4%
Kering	14,474	14,719	-2%	1,764	1,907	-7%	5.33	6.51	-18%
LVMH	80,069	80,631	-1%	17,114	17,660	-3%	21.90	22.62	-3%
Moncler	3,151	3,238	-3%	899	943	-5%	2.20	2.34	-6%
Pandora	33,770	33,437	+1%	7,724	7,708	+0%	67.03	65.91	+2%
Prada	6,378	6,415	-1%	1,192	1,223	-3%	0.29	0.30	-2%
Richemont*	25,357	25,091	+1%	5,759	5,478	+5%	8.18	7.51	+9%
Swatch	6,449	6,565	-2%	184	332	-45%	0.72	3.68	-80%
Watches of Switzerland*	2,006	1,999	+0%	205	182	+13%	50.04	53.46	-6%
Zegna	2,049	2,047	+0%	197	195	+1%	0.41	0.42	-3%
weighted average (by market cap)			0%				-2%		

Source: UBS estimates, Visible Alpha consensus. *BRBY, CFR, WOSG: FY26 Note: no updates with this note for Swatch and WoSG.

Figure 12: Summary of UBS estimates vs. consensus, next fiscal year

FY27 Company	Sales (m)			EBIT (m)			EPS		
	UBSe	Cons	vs. cons	UBSe	Cons	vs. cons	UBSe	Cons	vs. cons
Brunello Cucinelli	1,708	1,710	-0%	294	296	-1%	2.57	2.60	-1%
Burberry*	2,665	2,688	-1%	351	331	+6%	62.29	55.81	+12%
EssilorLuxottica	33,117	32,805	+1%	5,430	5,308	+2%	8.55	7.95	+5%
Ferragamo	989	1,006	-2%	47	60	-20%	0.09	0.14	-39%
Ferrari	8,326	8,305	+0%	2,513	2,534	-1%	10.89	11.19	-3%
Hermès	17,608	18,056	-2%	6,737	7,245	-7%	43.98	49.10	-10%
Hugo Boss	3,962	3,989	-1%	318	342	-7%	2.83	3.07	-8%
Kering	15,246	15,600	-2%	1,982	2,362	-16%	7.12	9.89	-28%
LVMH	82,510	84,225	-2%	17,403	18,878	-8%	22.18	24.67	-10%
Moncler	3,314	3,449	-4%	952	1,016	-6%	2.33	2.52	-7%
Pandora	35,491	35,010	+1%	5,975	5,967	+0%	49.68	50.83	-2%
Prada	6,594	6,704	-2%	1,242	1,327	-6%	0.31	0.33	-6%
Richemont*	27,272	26,937	+1%	6,534	6,297	+4%	9.34	8.61	+9%
Swatch	6,759	6,919	-2%	326	555	-41%	4.60	6.69	-31%
Watches of Switzerland*	2,182	2,134	+2%	239	200	+19%	59.47	59.77	-1%
Zegna	2,211	2,208	+0%	251	246	+2%	0.57	0.54	+6%
weighted average (by market cap)			-1%				-6%		

Source: UBS estimates, Visible Alpha consensus. *BRBY, CFR, WOSG: FY27 Note: no updates with this note for Swatch and WoSG.



Figure 13: Summary of UBS ratings and price targets

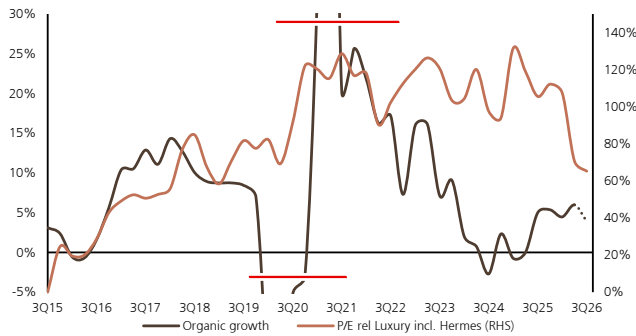
		Price target			02/10/2026	
	Rating	Old	New	Change	Price	diff.
Brunello Cucinelli	Buy	€101	€99	-2%	€80.2	+23%
Burberry	Buy	1,425p	1,320p	-7%	1,011p	+31%
EssilorLuxottica	Buy	€282	€247	-12%	€143	+73%
Ferragamo	Neutral	€10.3	€8.5	-17%	€7.0	+21%
Ferrari	Buy	\$490	\$450	-8%	\$388	+16%
Hermès	Sell	€1,695	€1,168	-31%	€1,300	-10%
Hugo Boss	Neutral	€39.2	€38.9	-1%	€38.0	+3%
Kering	Neutral	€285	€224	-21%	€210	+7%
LVMH	Buy	€645	€525	-19%	€379	+39%
Moncler	Neutral	€53.7	€46.6	-13%	€43.7	+7%
Pandora	Neutral	DKK861	DKK839	-3%	DKK792	+6%
Prada	Neutral	HK\$39.5	HK\$36.3	-8%	HK\$36.6	-1%
Richemont	Buy	CHF221	CHF210	-5%	CHF173	+21%
Swatch	Sell	CHF90.0	CHF90.0	--	CHF182	-51%
Watches of Switzerland	Buy	890p	890p	--	673p	+32%
Zegna	Buy	\$15.5	\$15.4	-1%	\$12.4	+25%
Simple avg				-9%		+15%

Source: UBS estimates, Datastream prices as of 02/10/2026 close. For more details, please see the single-stock reports published today. Note: no updates with this note for Swatch and WoSG.

Valuation

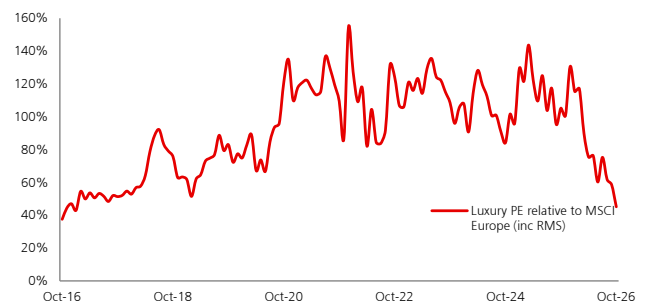
The sector (ex-RMS) is trading at a ~37% premium vs. MSCI Europe, below its 5-yr avg of ~67% and 15-yr avg of ~57%, reflecting investor concerns over its structural growth outlook. While ST visibility remains limited, earnings forecasts have been materially reset, improving the sector's risk-reward profile. Even modest signs of stabilisation in consumer demand or the macro backdrop could therefore support a re-rating. We remain selective, favouring hard luxury and, within soft luxury, brands with greater exposure to HNWIs, which should prove more resilient in the current context.

Figure 14: Luxury sector P/E relative to MSCI Europe vs. organic sales growth



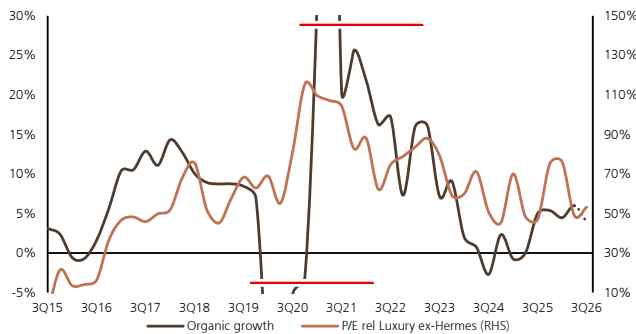
Source: UBS, Datastream

Figure 15: Luxury sector relative premium to MSCI Europe



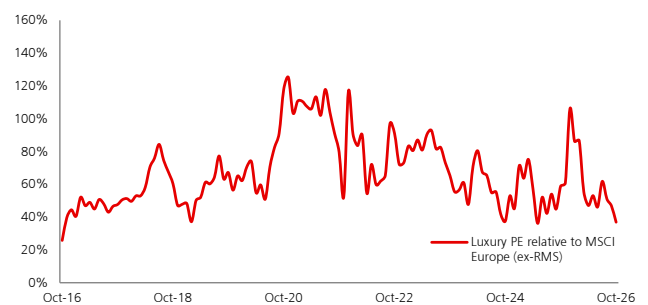
Source: UBS, Datastream

Figure 16: Luxury sector P/E (ex-RMS) relative to MSCI Europe vs. organic sales growth



Source: UBS, Datastream

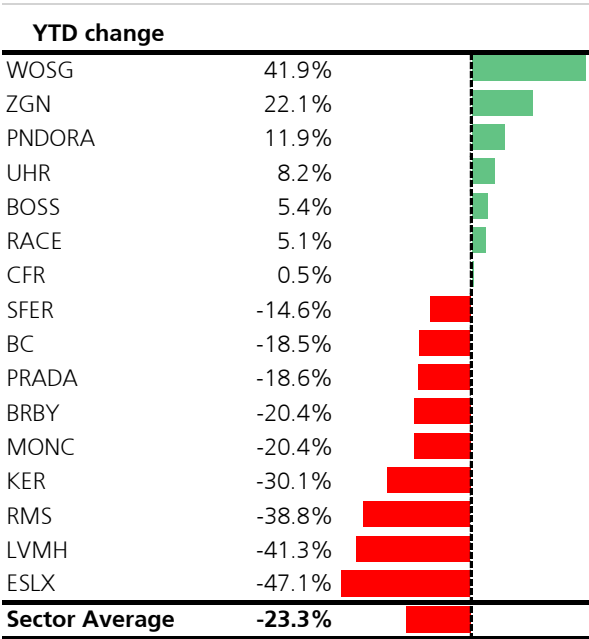
Figure 17: Luxury sector (ex-RMS) relative premium to MSCI Europe



Source: UBS, Datastream



Figure 18: 2026ytd luxury stock performance



Source: UBS, Datastream as of 02/10/2026

Figure 19: 3Q26 luxury reporting catalysts

3Q26 reporting catalysts		
Date	Stock	Event
12-Oct-26	LVMH	3Q26 sales
15-Oct-26	BC	3Q26 sales
20-Oct-26	ESLX	3Q26 sales
20-Oct-26	SFER	3Q26 sales
21-Oct-26	MONC	3Q26 sales
22-Oct-26	RMS	3Q26 sales
22-Oct-26	PRADA	3Q26 sales
22-Oct-26	ZGN	3Q26 sales
22-Oct-26	KER	3Q26 sales
03-Nov-26	RACE	3Q26 results
03-Nov-26	BOSS	3Q26 results
04-Nov-26	PNDORA	3Q26 results
10-Nov-26	WOSG	1H27 sales
12-Nov-26	BRBY	1H27 results
13-Nov-26	CFR	1H27 results
10-Dec-26	WOSG	1H27 results

Source: Company data

UBS QUANT ANSWERS CROWDING SCORE

In this report, we leverage UBS Quant Answers Crowding Score data to gain insights into individual stocks' relative positioning. The data offers insights into how each stock within our coverage is positioned against the others and over time. However, we also note that the data should be assessed along with fundamental views and could also be subject to data-collection limitations.

What is UBS Quant Answers Crowding Score?

The UBS Quant Answers Crowding Score data is based on a combination of multiple external and internal data sets, and is a complementary blend of prime brokerage data, stock loan data, 13F regulatory filings, and proprietary data.

How should investors interpret the data?

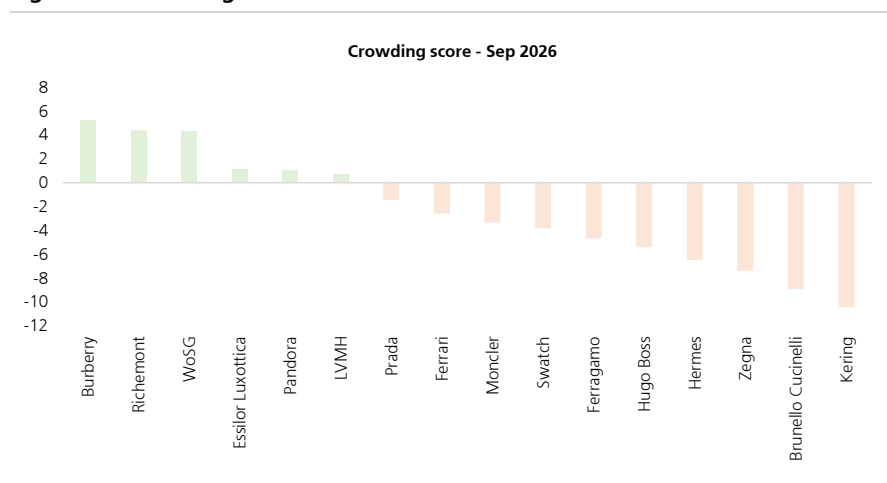
The way to interpret the data is by looking at the crowding score value either from a single stock time series perspective or from a relative basis across stocks. A higher number indicates the positioning of the stock is more crowded on the long side (value >0) and a lower number indicates it is more crowded on the short side (value <0).

What conclusions have we drawn from the data?

According to monthly data from June-September 2026 for stocks with our coverage:

- On the long side, starting from the most crowded long: Burberry (Buy), Richemont (Buy), WoSG (Buy), EssilorLuxottica (Buy), Pandora (Neutral), LVMH (Buy).
- On the short side, starting from the most crowded short: Prada (Neutral), Ferrari (Buy), Moncler (Neutral), Swatch (Sell), Ferragamo (Neutral), Hugo Boss (Neutral), Hermes (Sell), Zegna (Buy), Brunello Cucinelli (Buy), Kering (Neutral).

Figure 20: Crowding Scores

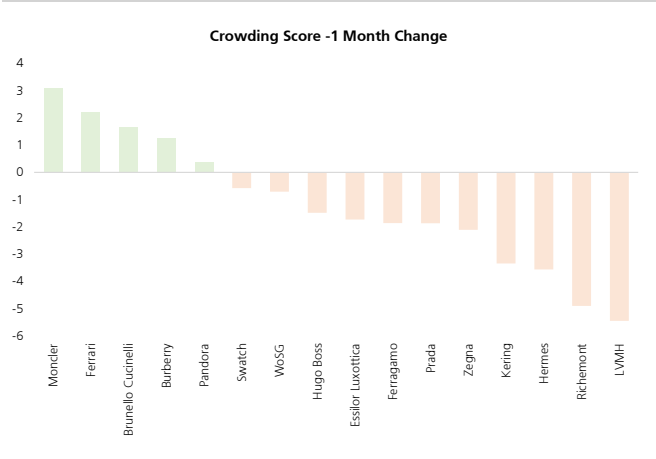


Source: UBS Quant Answers



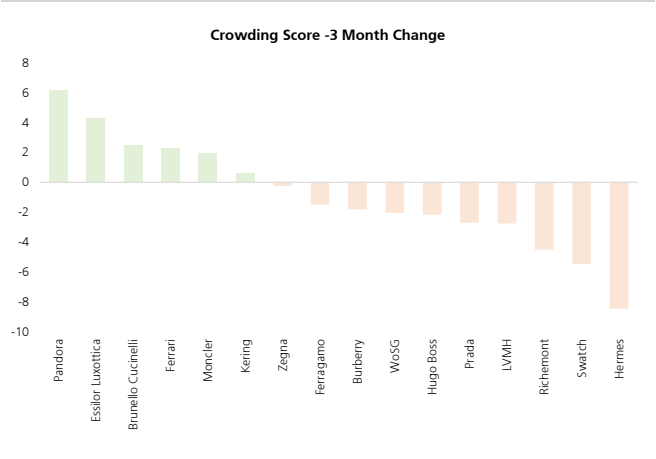
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Figure 21: Crowding score - 1 month change



Source: UBS Quant Answers

Figure 22: Crowding score - 3 months change



Source: UBS Quant Answers

SECTOR VALUATION

Figure 23: UBS Luxury valuation sheet

	Rating	Target	Price	% diff	P/E			EPS growth			EV/EBITDA			EV/Sales			EV/EBIT			FCF Yield			Div. Yield			Mkt Cap (€)	
					2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E		
LVMH	Buy	€ 525	€ 379	39%	17.3	17.1	16.1	-4%	1%	6%	8.7	8.5	8.1	2.7	2.6	2.5	12.7	12.5	11.9	6.5%	6.0%	6.3%	3.4%	3.4%	3.7%	€189bn	
Kering	Neutral	€ 224	€ 210	7%	39.5	29.5	23.1	22%	34%	28%	9.7	9.0	8.3	2.5	2.4	2.2	20.5	18.2	15.8	19.0%	4.9%	5.2%	0.8%	1.7%	2.2%	€26bn	
Richemont	Buy	CHF 210	CHF 173	21%	24.2	20.5	17.9	23%	18%	14%	14.0	12.3	11.0	4.1	3.8	3.6	18.6	16.0	14.1	3.9%	2.2%	2.2%	2.9%	3.2%	3.5%	€109bn	
Swatch	Sell	CHF 90	CHF 182	-51%	253.5	39.6	25.4	1138%	541%	56%	16.3	13.2	10.9	1.6	1.5	1.4	54.8	30.9	20.1	1.5%	1.4%	2.8%	2.6%	2.7%	2.9%	€10bn	
Hermès	Sell	€ 1,168	€ 1,300	-10%	30.5	29.5	27.9	-1%	3%	6%	16.5	15.7	14.5	7.4	6.8	6.3	18.7	17.9	16.6	2.9%	3.1%	3.3%	1.4%	1.4%	1.5%	€136bn	
Ferrari	Buy	\$ 450	\$ 388	16%	34.3	30.6	29.1	8%	12%	5%	20.1	18.2	16.5	7.8	7.2	6.6	26.4	23.7	21.4	2.7%	2.8%	2.9%	1.2%	1.3%	1.4%	€59bn	
EssilorLuxottica	Buy	€ 247	€ 143	73%	18.6	16.7	14.8	13%	11%	13%	10.6	9.5	8.4	2.6	2.4	2.1	16.1	14.4	12.7	1.3%	-0.7%	-3.3%	2.9%	3.3%	3.7%	€66bn	
Burberry	Buy	1,320p	1,011p	31%	28.2	17.6	12.7	363%	60%	38%	7.2	6.2	5.4	1.7	1.6	1.5	18.0	12.9	10.1	4.0%	6.6%	9.1%	0.0%	0.0%	3.3%	€4bn	
Moncler	Neutral	€ 46.6	€ 43.7	7%	19.8	18.7	17.6	-4%	6%	6%	9.3	8.8	8.3	3.7	3.5	3.3	12.9	12.2	11.4	4.4%	4.7%	5.0%	2.8%	2.9%	3.1%	€12bn	
Prada	Neutral	HKD 36.3	HKD 36.6	-1%	14.0	13.4	12.3	-14%	5%	9%	6.5	6.3	5.9	2.2	2.1	2.0	11.5	11.1	10.3	4.8%	5.9%	7.1%	0.4%	0.4%	0.5%	€10bn	
Ferragamo	Neutral	€ 8.5	€ 7.0	21%							19.8	17.0	13.7	1.7	1.7	1.6										€1bn	
Zegna	Buy	\$ 15.0	\$ 12.4	21%	26.9	19.3	16.8	-10%	39%	15%	9.0	7.6	6.8	1.9	1.7	1.6	19.7	15.3	13.3	0.0%	0.1%	0.1%	0.9%	1.4%	1.6%	€3bn	
Brunello Cucinelli	Buy	€ 99.0	€ 80.2	23%	35.3	31.2	27.9	14%	13%	12%	13.7	12.3	11.1	4.1	3.7	3.4	24.1	21.5	19.3	4.8%	4.9%	5.4%	1.4%	1.6%	1.8%	€5bn	
Hugo Boss	Neutral	€ 38.9	€ 38.0	3%	14.9	13.4	12.0	-30%	11%	12%	4.9	4.6	4.1	0.8	0.8	0.7	11.0	10.1	8.7	8.9%	7.6%	7.3%	0.1%	0.2%	0.6%	€3bn	
Pandora	Neutral	DKK 839	DKK 792	6%	11.8	15.9	12.5	-1%	-26%	28%	7.0	8.3	7.2	2.1	2.0	1.9	9.3	12.1	10.3	10.8%	11.9%	11.9%	2.8%	2.8%	2.8%	€8bn	
Watches of Switzerland	Buy	890p	673p	32%	13.8	11.9	10.5	10%	16%	14%	7.9	6.9	6.2	1.3	1.2	1.1	12.5	10.9	9.6	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	€2bn	
Tapestry inc	Buy (CBE)	\$ 232.0	\$ 118.1	96%	14.9	12.7	11.0	26%	17%	15%	11.6	10.5	9.6	3.0	2.8	2.6	12.5	11.2	10.3	0.0%	0.0%	0.0%	1.4%	1.6%	1.8%	€21bn	
Capri Holdings	Neutral	\$ 17.0	\$ 14.4	18%	7.2	7.3	7.7	884%	-2%	-5%	8.8	6.4	5.7	0.7	0.5	0.5	15.8	10.9	10.1	0.1%	1.4%	1.0%	0.0%	0.0%	0.0%	€1bn	
Canada Goose	Neutral	\$ 10.5	\$ 7.7	37%	7.8	6.6	5.8	13%	18%	13%	3.2	3.0	2.9	0.6	0.6	0.6	5.6	5.1	4.7	0.7%	1.4%	1.7%	0.0%	0.0%	0.0%	€1bn	
Ralph Lauren	Buy	\$ 520	\$ 363	43%	19.7	18.1	17.0	19%	9%	6%	12.4	11.0	10.0	2.4	2.2	2.1	14.6	13.2	12.1	0.0%	0.0%	0.0%	1.0%	1.1%	1.2%	€19bn	
Sector Average				25%	27.0	22.0	20.0	25%	16%	10%	12.6	11.7	10.7	4.3	4.0	3.7	17.4	15.8	14.3	4%	3%	3%	2%	2%	3%	€686bn	
Sector Average ex- RMS, RACE				36%	25.1	18.8	16.7	34%	20%	12%	10.6	9.7	8.9	3.0	2.8	2.6	15.9	14.3	12.8	5%	4%	3%	3%	3%	3%		
Luxury coverage average				22%	24.1	22.1	20.3	8%	9%	10%	12.6	11.7	10.7	4.4	4.1	3.8	17.1	15.8	14.4	5%	4%	4%	2%	3%	3%		
Luxury coverage average ex- RMS, RACE				33%	20.8	18.7	16.7	10%	10%	11%	10.3	9.6	8.8	3.0	2.9	2.7	15.3	14.1	12.8	6%	4%	4%	3%	3%	3%		
Note: Sector Average excludes Swatch, Ferragamo																											
adidas	Neutral	€ 159	€ 144	10%	14.3	12.9	11.1	35%	11%	16%	8.9	8.5	7.7	1.0	1.0	0.9	10.8	10.3	9.2	6.8%	6.8%	-13.6%	2.7%	2.9%	3.4%	€26bn	
Puma	Neutral	€ 22.6	€ 22.2	2%	-17.2	172.8	26.1	-61%	-110%	562%	13.0	8.6	6.8	0.8	0.7	0.7	-219.0	30.6	16.9	11.6%	11.6%	-14.7%	0.0%	0.0%	1.1%	€3bn	
JD Sports	Neutral	86p	79.7p	8%	7.0	6.1	5.4	-4%	14%	13%	3.9	3.7	3.6	0.6	0.6	0.6	7.8	7.4	7.1	0.1%	0.1%	0.0%	1.5%	1.7%	2.0%	€5bn	
Anta	Buy	HKD 109	HKD 74.2	46%	12.9	12.8	11.7	23%	1%	10%	6.3	5.4	4.7	2.0	1.8	1.5	8.3	7.0	5.9	1.3%	1.8%	-5.4%	3.1%	3.3%	3.6%	€23bn	
Li Ning	Buy	HKD 21.1	HKD 12.3	72%	13.3	11.1	9.9	-19%	20%	12%	3.4	2.9	2.5	0.5	0.4	0.4	4.9	3.9	3.3	10.7%	-2.1%	-3.4%	6.6%	4.5%	5.1%	€4bn	
Under Armour	Buy	\$9.0	\$4.7	91%	44.2	14.6	8.0	34%	34%	34%	11.0	7.5	5.6	0.5	0.5	0.5	21.4	11.1	7.3	23.8%	-15.9%	-19.7%	0.0%	0.0%	0.0%	€2bn	
Lululemon Athletica	Neutral	\$106	\$94	12%	9.9	9.6	9.0	-29%	3%	7%	4.8	4.9	4.8	0.9	0.9	0.8	6.3	6.6	6.6	3.0%	5.4%	5.6%	0.0%	0.0%	0.0%	€9bn	
Nike	Neutral	\$34	\$33.9	0%	21.1	23.8	19.3	-25%	-11%	23%	13.0	14.4	12.5	1.1	1.1	1.1	16.4	18.7	15.4	9.7%	7.6%	7.3%	4.8%	4.8%	4.8%	€45bn	
Amer Sports	Buy	\$62	\$27.2	128%	20.6	17.3	14.9	34%	19%	16%	10.9	9.2	7.5	1.9	1.5	1.3	12.9	11.0	8.9	1.0%	-1.4%	-1.6%	0.0%	0.0%	0.0%	€13bn	
On Holdings	Buy	\$73	\$30.9	137%	17.0	14.4	12.0	81%	21%	20%	13.9	10.9	9.1	2.8	2.3	1.9	17.4	13.4	11.2	-0.5%	-3.1%	-3.4%	0.0%	0.0%	0.0%	€9bn	
Sportswear Brands				35%	16.1	20.2	14.2	7%	1%	30%	9.8	9.5	8.3	1.4	1.2	1.1	6.9	12.7	10.5	6%	4%	-2%	3%	3%	3%	€139bn	

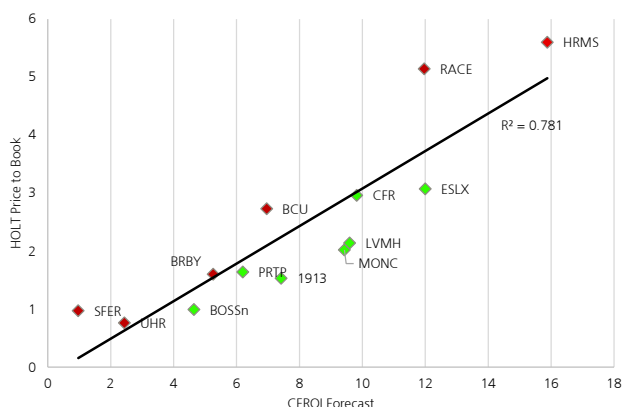
Source: Company data, UBS estimates, Datastream prices as of 02/10/2026 close.



HOLT

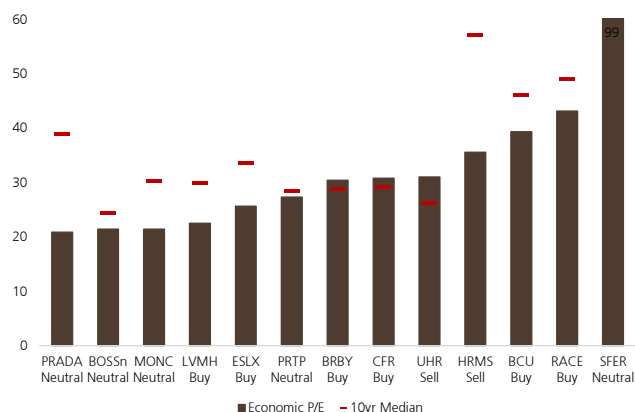
Our proprietary HOLT analysis shows Luxury CFROI has come under pressure over the past two years and is forecast to reach a historical trough ex-Covid in 2026E, before improving in 2027E. At the same time, the sector trades at a decade trough on HOLT Economic P/E. In our view, this creates a more attractive starting point for the sector but does not make all stocks equally compelling, the key question is whether current valuations adequately reflect the prospective recovery in returns.

Figure 24: HOLT Price to Book CFROI



Source: HOLT

Figure 25: Luxury sector Economic P/E vs. 10-year median



Source: HOLT

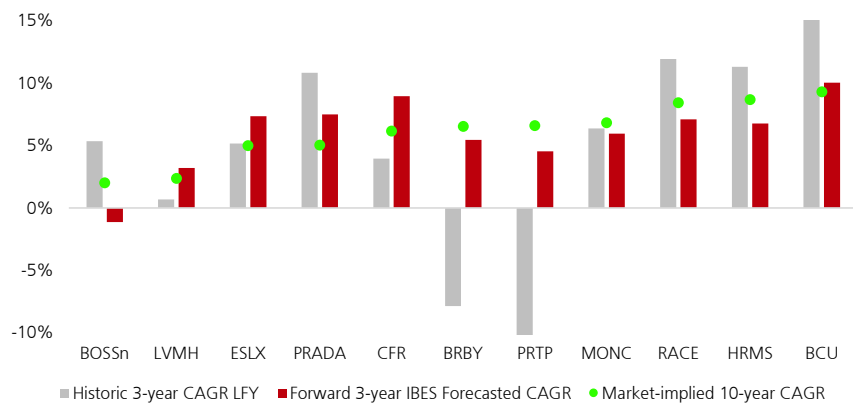
Looking at HOLT P/B relative to forecast CFROI highlights significant dispersion beneath the sector aggregate. HOLT identifies LVMH at a significant relative discount and Richemont as relatively attractive, while Hermès screens at a relative premium aligning with our current positioning.

LVMH (Buy) screens at a significant discount to Luxury peers on HOLT P/B relative to forecast CFROI and trades at a 10-year trough on Economic P/E. With CFROI forecast to trough in 2026E before recovering in 2027E, we believe the valuation already reflects significant operational weakness, leaving scope for even modest improvement in execution to drive earnings and valuation upside. **Richemont (Buy)**, our top pick, also screens relatively attractively, which we believe complements our fundamental view of resilient Jewellery-led growth and renewed earnings momentum.

Hermès (Sell) continues to screen at a relative premium to peers despite its Economic P/E falling to a 10-year low. We see this as increasingly demanding as we expect the historical scarcity-driven growth model to become more demand-driven and cyclical. Importantly, the historical de-rating does not necessarily imply relative value. Despite Hermès' 2026/27E CFROI being forecast to fall to a 16-year trough, the stock continues to command a premium to most luxury peers.

We note **Ferrari (Buy)**, retains a high absolute Economic P/E but trades below its own 10-year median. We believe the valuation should be viewed against the quality of prospective growth and returns rather than the headline multiple alone.

Figure 26: Sales Growth (%): Historical, forecast and implied sales growth across Luxury



Source: UBS HOLT. Ranked by Market-implied Sales Growth (green dot): using IBES consensus sales and EBITDA margin estimates for the next three years, we back solve for the level of sales growth implied by the current share price over the next 10 years

The dispersion is also evident in the growth expectations embedded in share prices. HOLT's market-implied sales analysis shows that the sector is not pricing a uniform recovery, with significant differences between companies in the long-term sales growth required to justify current valuations. We see this as particularly important as sector growth normalises: companies priced for more modest long-term growth have greater scope to benefit from an improvement in fundamentals, while those requiring sustained superior growth offer less valuation support if growth disappoints. This further supports our selective rather than broad-based approach to the sector.



****UBS Evidence Lab** is a sell-side team of experts that work across numerous specialized labs creating insight-ready datasets. The experts turn data into evidence by applying a combination of tools and techniques to harvest, cleanse, and connect billions of data items each month. Since 2014, UBS Research analysts have utilized the expertise of UBS Evidence Lab for insight-ready datasets on companies, sectors, and themes, resulting in the production of thousands of differentiated UBS Research reports. UBS Evidence Lab does not provide investment recommendations or advice but provides insight-ready datasets for further analysis by UBS Research and by clients. All published UBS Evidence Lab content is available via UBS Neo. The amount and type of content available may vary. Please contact your UBS sales representative if you wish to discuss access.*

Valuation Method and Risk Statement

Risk to luxury goods companies include 1) external influence on consumption, such as terrorism and epidemics, 2) drastic political changes, 3) pricing pressure, 4) brand value, 5) management execution and successor issues, 6) perception in equity market about their long-term growth, and 7) foreign exchange rates. Our price targets are based on DCF, relative valuation, and SOTP valuation.

The HOLT methodology does not assign ratings or a target price to a security. It is an analytical tool that involves use of a set of proprietary quantitative algorithms and warranted value calculations, collectively called the HOLT valuation model, that are consistently applied to all the companies included in its database. The HOLT valuation model is a discounted cash flow model. Third-party data (including consensus earnings estimates) are systematically translated into a number of default variables and incorporated into the algorithms available in the HOLT valuation model. The source financial statement, pricing, and earnings data provided by outside data vendors are subject to quality control and may also be adjusted to more closely measure the underlying economics of firm performance. These adjustments provide consistency when analyzing a single company across time, or analyzing multiple companies across industries or national borders.

The default scenario that is produced by the HOLT valuation model establishes a warranted price that represents the expected mean value for a security based upon empirically derived fade algorithms that forecast a firm's future return on capital and growth rates over an extended period of time. As the third-party data are updated, the warranted price updates automatically. A company's future achieved return on capital or growth rate may differ from HOLT default forecast. Additional information about the HOLT methodology is available upon request.

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HOLT Business Resilience Dashboard (HBRD) Disclaimer

The HOLT Business Resilience Dashboard (HBRD) is constructed by applying systematic processes on publicly available records and third-party data to generate quantitative measures. The HBRD consistently assigns scores using a transparent combination of metrics and weights across financial, environmental and governance inputs. Individual companies can be scored on a global-size and/or region-size relative basis. The HBRD is also translated into five textual assessments (e.g. "Highest" or "Lowest") based on their quintile percentile rank. For further details on the HBRD methodology HOLT Business Resilience Primer please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research. The HBRD does not constitute or imply any endorsement or recommendation of any individual company. UBS has not sought to independently verify information obtained from public and third-party sources and makes no representations or warranties as to accuracy, completeness or reliability of such information due to inconsistent reporting of data by companies. Additionally, as global laws, guidelines and regulations in relation to the tracking and provision of such data are evolving, all such disclosures are made on a non-reliance basis and are subject to change. Any figures, values or other data published in this report are neither designed nor administered in line with the standards of the IOSCO Principles for Financial Benchmarks or the EU Benchmarks Regulation (EU) 2016/1011 or any other benchmark related regulatory guidelines and as such you are prohibited from using those figures, values or data in a way which would amount to use of a financial benchmark under those regimes (or any equivalent rules or regulations in any global jurisdiction).

HOLT transferred to UBS on October 1, 2024 – renamed as UBS HOLT. The UBS HOLT Lens website and materials will be transitioning to UBS branding over time, with expected full redesign to UBS in time.



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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS AG London Branch: Ana Gogichaishvili, Emily Teo, Robert Krankowski. **UBS Europe SE:** Zuzanna Pusz, CFA.

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Company Name	Reuters	12-month rating	Price	Price date
Brunello Cucinelli S.p.A. ²⁸	BCU.MI	Buy	€80.18	02 Oct 2026
Burberry ²⁸	BRBY.L	Buy	1,011p	02 Oct 2026
Compagnie Financiere Richemont SA ^{13,4,59,5,6,28,7}	CFR.S	Buy	CHF172.85	02 Oct 2026
Ermenegildo Zegna NV ^{12,16,28}	ZGN.N	Buy	US\$12.36	02 Oct 2026
EssilorLuxottica ²⁸	ESLX.PA	Buy	€142.80	02 Oct 2026
Ferrari NV ^{4,16,6,28,7}	RACE.N	Buy	US\$388.33	02 Oct 2026
Hermès International SCA ²⁸	HRMS.PA	Neutral	€1,299.5	02 Oct 2026
Hugo Boss AG ^{13,28}	BOSSn.DE	Neutral	€37.95	02 Oct 2026
Kering ^{28,20}	P RTP.PA	Neutral (CBE)	€210.30	02 Oct 2026
LVMH Moët Hennessy Louis Vuitton SA ²⁸	LVMH.PA	Buy	€378.55	02 Oct 2026
Moncler Spa ²⁸	MONC.MI	Neutral	€43.70	02 Oct 2026
Pandora A/S ²⁸	PNDORA.CO	Neutral	DKr791.60	02 Oct 2026
Prada SpA	1913.HK	Neutral	HK\$36.62	02 Oct 2026
Salvatore Ferragamo SPA ^{28,20}	SFER.MI	Neutral (CBE)	€7.03	02 Oct 2026
Swatch Group AG ^{59,5,28,7}	UHR.S	Sell	CHF182.05	02 Oct 2026
The Watches of Switzerland Group ^{14,28}	WOSG.L	Buy	673p	02 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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